

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MUHAMMAD RANA, *Complainant*

v.

MICHELLE FRANKLIN, D.B.A. "THE RIGHT MOVE" INC.,
Respondent.

DOCKET NO. 19-03

Served: October 30, 2019

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING MOTIONS FOR DEFAULT AND SUMMARY DECISION, TO STRIKE, AND TO COMPEL; DISCHARGING SHOW CAUSE ORDER; AND SCHEDULING ORDER

I. Introduction and Procedural History

On May 13, 2019, the Commission issued a notice of filing of complaint and assignment for this proceeding. On May 15, 2019, an initial order was issued. Respondent did not file a timely response to the complaint. On June 10, 2019, Complainant filed a motion seeking a default and summary decision against Respondent ("Default Motion"). Respondent also failed to respond to the default motion. Therefore, on July 25, 2019, an order to show cause ("OTSC") was issued finding that Respondent was in default but noting that "[t]here may be some valid reason why Respondent has failed to respond." OTSC at 2. Respondent was granted until August 26, 2019, to respond and show cause why judgment should not be entered against her. OTSC at 2.

On August 13, 2019, an email response was received from Respondent ("Answer"). On September 10, 2019, Complainant filed a supplement to the motion for entry of default and summary decision ("Supplemental Default Motion"). On October 1, 2019, Respondent filed an email response to the supplemental default motion ("Response to Supp. Default Motion"). Additionally, on October 7, 2019, Complainant filed a motion to strike Respondent's response to default motion ("Motion to Strike"). On October 18, 2019, Complainant filed a motion to compel Respondent to respond to certain discovery requests propounded by Complainant ("Motion to Compel").

II. Complainant's Motion for Default and Summary Decision and Order to Show Cause

The Commission's rules require that Respondent file an answer within twenty-five days after the date of service. 46 C.F.R. § 502.62(b). Respondent failed to timely file her answer, due on June 7, 2019, and failed to respond to the initial order or default motion. However, following issuance of the July 25, 2019, order to show cause, on August 13, 2019, Respondent emailed an

answer to the complaint. Complainant contends that the answer fails to show cause why a default decision should not be entered. Supplemental Default Motion at 8.

Email responses do not have the case caption or document title and are generally not permitted. However, it is noted that the parties are *pro se*, i.e. not represented by lawyers. Pleadings by unrepresented parties are held “to less stringent standard than formal pleadings drafted by lawyers.” *Haines v. Kerner*, 404 U.S. 519, 520 (1972). “[A]dministrative agencies like this Commission, tend to be more lenient even than courts in such matters.” *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l Inc.*, 29 S.R.R. 1338, 1342 (ALJ 2002). Accordingly, to allow this proceeding with unrepresented litigants to move forward without additional delay, Respondent’s email responses are accepted. Future filings should include a case caption and document title.

Respondent filed a response to the order to show cause on August 13, 2019, well before the expiration of the August 26, 2019, deadline given in the order to show cause. While Respondent does not specifically argue that a default judgment should not be entered against her, she nevertheless asserts defenses to the allegations raised in the complaint and indicates that she is “not familiar with legal terms.” Answer at 1. This email response will be accepted as Respondent’s answer so that the proceeding may move forward toward a decision on the merits. “The reluctance to decide by default judgments is consistent with the underlying philosophy regarding proceedings before administrative agencies like the Commission. Under this philosophy agencies prefer to decide cases based on evidence rather than on defaults and technicalities.” *Tak Consulting Eng’rs v. Bustani*, 28 S.R.R. 581, 583 (ALJ 1998).

By filing a response as instructed, Respondent has remedied the problem that resulted in the issuance of the show cause order. Therefore, the April 13, 2019, email is accepted as Respondent’s answer, the order to show cause is **DISCHARGED**, and Complainant’s motion for entry of default is **DENIED**.

Complainant also requests that a summary decision be issued. Default Motion at 1, Supplemental Default Motion at 11. The complaint alleges a violation of section 41102(c), formerly section 10(d)(1), and seeks compensatory damages, restitution, and fees. Default Motion at 1-3. In order to prevail on a motion for summary decision, the party seeking summary judgment must demonstrate that there is no genuine issue of material fact. *See, e.g., Green v. Dalton*, 164 F.3d 671, 675 (D.C. Cir. 1999). Thus, a case in which material factual issues are disputed is not appropriate for summary decision. Complainant’s account of the relevant facts in this case are different from the facts relayed by Respondent. Complainant asserts in his motion for summary judgment that many of the facts recited by Respondent in the answer are false. Complainant’s assertions underscore the need for a proper evidentiary record in this proceeding. Allowing the case to proceed further will give both sides an opportunity to develop their arguments and evidence and potentially negotiate a resolution. Because the relevant facts in this proceeding are disputed by the parties, summary decision is not appropriate. Accordingly, Complainant’s request for summary decision is **DENIED WITHOUT PREJUDICE**.

III. Other Pending Motions

1. Complainant's Motion to Strike

Complainant moves to strike Respondent's response to the supplemental default motion as untimely, because the response was filed on October 1, 2019, after the September 17, 2019, deadline provided in the order to show cause. Motion to Strike at 1. No ruling had been issued and Complainant was not prejudiced by the late filing by the unrepresented Respondent. Accordingly, the motion to strike is **DENIED**.

2. Complainant's Motion to Compel

On October 18, 2019, Complainant filed a motion to compel Respondent to comply with his discovery requests "within the next fifteen days." Motion to Compel at 1. Complainant asserts that on September 18, 2019, he initiated and served a request for the production of documents and first set of interrogatories on Respondent, but to date Respondent has not responded to the requested discovery. Motion to Compel at 1. A schedule for discovery and briefing of the case is included below. Complainant's motion to compel is thus **DENIED** as moot. The parties are reminded that they must comply with discovery requests or promptly file a motion to object to the request. Failure to continue to participate in the proceeding may lead to a default decision.

3. Complainant's Section 41102(a) Claim

In his supplemental default motion, unrepresented Complainant raised the allegation that Respondent violated 46 U.S.C. § 41102(a). Supplemental Default Motion at 1. Complainant's motion will be treated as a request to amend the complaint to add a section 41102(a) claim. Pursuant to Commission Rule 66, amendments to a complaint "will be permitted or rejected, either in the discretion of the Commission or presiding judge." 46 C.F.R. § 502.66(a).

To establish a violation of section 41102(a), Complainant would need to establish that Respondent used unjust or unfair means, that Respondent benefitted from obtaining transportation at less than the rates that otherwise would be applicable, and that Respondent knowingly and willfully violated the Shipping Act. It is not clear that that this section will be applicable, however, Complainant will be allowed to pursue discovery and to argue its applicability. Accordingly, leave to amend the complaint to add the section 41102(a) claim is **GRANTED**.

IV. Next Steps

1. Settlement Discussion

The parties are encouraged to pursue a settlement or resolution utilizing Respondent's bond. Respondent states that Complainant "is entitle[d] to a refund of the ocean costs and we can either agree to do it directly or Mr. Rana can file a claim against the company bond." Response

to Supp. Default Motion at 2. Settlement is the most efficient way to resolve this dispute and the most likely way to ensure receipt of funds while Respondent or the bond company still has resources.

Before November 20, 2019, each party must contact the Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS), to explore whether this case may be settled. 46 C.F.R. § 502.64. CADRS may be reached at 202-523-5807, toll free (US only): 866-448-9586. The parties should discuss settlement and whether they contacted CADRS in their first joint status report however they must not provide details regarding settlement negotiations to this office.

As the parties are considering settlement, they should keep the following in mind. In order for Complainant to prevail, he must demonstrate the newly established elements for showing a section 41102(c) violation, including proving that "the claimed acts or omission of the regulated entity are occurring on a normal, customary, and continuous basis." *See* FMC Docket 17-02 at www2.fmc.gov/readingroom/proceeding/17-02. In addition, Respondent may be held personally liable, not just her company, for any damages established by Complainant.

If the parties reach settlement, they should sign a written agreement specifying that the agreement resolves all disputes between the parties related to the shipment at issue and outlining the terms of the settlement. Respondent should pay the settlement amount. After the settlement amount is paid, the settlement agreement must be submitted to the Office of Administrative Law Judges with a motion asking for approval of the settlement agreement.

2. Schedule

The schedule below ensures that the parties proceed in an efficient manner. The parties shall schedule time to complete all depositions, supplemental discovery, and to have discovery motions resolved prior to the discovery completion date. Parties shall be prepared to proceed without any discovery requested after the discovery cut-off date. All requests for extensions will be reviewed for good cause, even if the parties agree on the requested extension. The parties will need to begin discovery and proceed with the case even if they are discussing settlement.

The parties are hereby **ORDERED** to follow this schedule:

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| November 20, 2019 | Deadline to contact CADRS. Respondent answers discovery and provides initial disclosures. Respondent issues discovery requests. Parties file first joint status report. |
| December 20, 2019 | Complainant's discovery responses due. File joint status report. |
| January 22, 2020 | All discovery completed. File joint status report. |
| February 19, 2020 | Complainant files brief and proposed findings of fact. |

March 18, 2020 Respondent files opposition brief, responses to Complainant's proposed findings of fact, and Respondent's proposed findings of fact.

April 2, 2020 Complainant files reply brief and responses to Respondent's proposed findings of fact.

To ensure timely progress, the parties will be required to file joint status reports on the dates indicated. Joint status reports should discuss the status of settlement discussions and discovery and be attached to an email addressed to secretary@fmc.gov and clearly copied to opposing counsel and judges@fmc.gov.



Erin M. Wirth
Chief Administrative Law Judge